Conflict of Interest Policy

ARTICLE I · PURPOSE

The purpose of this policy is to protect the interests of Luminara Institute of Light when the corporation contemplates a transaction or arrangement that might benefit the private interest of an officer or director, or might result in an excess benefit transaction. This policy supplements, and does not replace, any applicable state or federal law governing conflicts of interest in nonprofit corporations.

ARTICLE II · DEFINITIONS

2.1 Interested person

Any director, officer, or member of a committee with board-delegated powers who has a direct or indirect financial interest, as defined below, is an interested person.

2.2 Financial interest

A person has a financial interest if the person has, directly or indirectly, through business, investment, or family: an ownership or investment interest in any entity with which the corporation has a transaction or arrangement; a compensation arrangement with the corporation or with any entity or individual with which the corporation has a transaction or arrangement; or a potential ownership or investment interest in, or compensation arrangement with, any entity or individual with which the corporation is negotiating a transaction or arrangement. Compensation includes direct and indirect remuneration as well as gifts or favors that are not insubstantial.

A financial interest is not necessarily a conflict of interest. A person with a financial interest has a conflict of interest only if the board or the appropriate committee decides that a conflict exists under Article III.

ARTICLE III · PROCEDURES

3.1 Duty to disclose

In connection with any actual or possible conflict of interest, an interested person shall disclose the existence of the financial interest and all material facts to the directors and members of committees with board-delegated powers considering the proposed transaction or arrangement.

3.2 Determining whether a conflict exists

After disclosure of the financial interest and all material facts, and after any discussion with the interested person, that person shall leave the meeting while the determination of a conflict of interest is discussed and voted upon. The remaining board or committee members shall decide whether a conflict of interest exists.

3.3 Procedures for addressing a conflict

The chair of the board or committee may appoint a disinterested person or committee to investigate alternatives to the proposed transaction or arrangement. After exercising due diligence, the board or committee shall determine whether the corporation can obtain a more advantageous transaction or arrangement with reasonable efforts from a person or entity that would not give rise to a conflict of interest.

If a more advantageous transaction or arrangement is not reasonably attainable under circumstances that would not give rise to a conflict of interest, the board or committee shall determine by a majority vote of the disinterested directors whether the transaction or arrangement is in the corporation's best interest, for its own benefit, and whether it is fair and reasonable. In conformity with that determination, it shall make its decision as to whether to enter into the transaction or arrangement.

3.4 Violations

If the board or committee has reasonable cause to believe a member has failed to disclose actual or possible conflicts of interest, it shall inform the member of the basis for that belief and afford the member an opportunity to explain the alleged failure to disclose. If, after hearing the member's response and making further investigation as warranted by the circumstances, the board or committee determines that the member has in fact failed to disclose an actual or possible conflict of interest, it shall take appropriate disciplinary and corrective action.

ARTICLE IV · RECORDS OF PROCEEDINGS

The minutes of the board and of all committees with board-delegated powers shall contain the names of the persons who disclosed or otherwise were found to have a financial interest, the nature of the financial interest, any action taken to determine whether a conflict of interest was present, and the board's or committee's decision as to whether a conflict of interest in fact existed; and the names of the persons who were present for discussions and votes relating to the transaction or arrangement, the content of the discussion, including any alternatives to the proposed transaction or arrangement, and a record of any votes taken.

ARTICLE V · COMPENSATION

A voting member of the board who receives compensation, directly or indirectly, from the corporation for services is precluded from voting on matters pertaining to that member's compensation. A voting member of any committee whose jurisdiction includes compensation matters and who receives compensation, directly or indirectly, from the corporation for services is precluded from voting on matters pertaining to that member's compensation. No person who receives compensation, directly or indirectly, from the corporation, either individually or collectively, is prohibited from providing information to any committee regarding compensation.

ARTICLE VI · ANNUAL STATEMENTS

Each director, officer, and member of a committee with board-delegated powers shall annually sign a statement affirming that the person has received a copy of this policy, has read and understands it, has agreed to comply with it, and understands that the corporation is charitable and, to qualify for and maintain federal tax exemption, must engage primarily in activities which accomplish one or more of its exempt purposes. The Annual Conflict of Interest Disclosure Statement is the form of that statement.

ARTICLE VII · PERIODIC REVIEWS

To ensure that the corporation operates in a manner consistent with its charitable purposes and does not engage in activities that could jeopardize its qualification for tax-exempt status, periodic reviews shall be conducted. The periodic reviews shall, at a minimum, consider whether compensation arrangements and benefits are reasonable, based on competent survey information and the result of arm's-length bargaining; and whether partnerships, joint ventures, and arrangements with management organizations conform to the corporation's written policies, are properly recorded, reflect reasonable investment or payments for goods and services, further charitable purposes, and do not result in inurement or impermissible private benefit.

ARTICLE VIII · USE OF OUTSIDE EXPERTS

In conducting the periodic reviews, the corporation may, but need not, use outside advisors. If outside experts are used, their use shall not relieve the board of its responsibility for ensuring that periodic reviews are conducted.

Adopted by the Board of Directors of Luminara Institute of Light on ______________________, 2026, pursuant to Article IX of the bylaws.